

Digital Financial Inclusion in Nepal

Bridging the Gap Through Technology

Introduction to Digital Financial Inclusion

- Digital financial inclusion means providing affordable financial services through digital technology to all citizens.
- Key Idea:
 - Access to banking and payments anytime, anywhere.
- Includes:
 - Mobile banking
 - Digital wallets
 - Online fund transfer
 - QR-based payment systems

Why Financial Inclusion Matters

Financial inclusion helps:

- • Reduce poverty
- • Promote economic participation
- • Support small businesses
- • Increase savings habits
- • Improve access to credit



**Financial inclusion =
Economic growth!**

• Without inclusion:

- • Rural populations remain outside formal economy
- • Cash dependency increases financial risk

Digital Financial Ecosystem in Nepal

Major Digital Wallet Platforms:

- eSewa
 - Nepal's first digital wallet
 - Millions of users
- Khalti
 - Popular among youth
 - Many utility payments
- IME Pay
 - Strong remittance connection
 - Growing user base

Bank-based Digital Systems:

- Mobile banking apps
 - All major banks
 - 24/7 access
- QR payment systems
 - ConnectIPS QR
 - Bank-specific QR
- Online banking portals
 - Fund transfers
 - Bill payments

Core Services Provided

- Digital financial systems allow:
 - Money transfer
 - Utility bill payment (electricity, water, internet)
 - Government tax payment
 - Online shopping
 - School and university fee payment
 - Insurance premium payment
 - Mobile recharge
 - Remittance collection

How Digital Wallet Works (Simple Model)

- Step-by-Step Process:
 - 1 User creates account
 - 2 Links bank account
 - 3 Loads balance
 - 4 Makes payment using mobile or QR
- Transaction Flow:
 - User → Platform → Bank → Receiver
-  Takes only seconds!

Benefits for Individuals

- ✓ Saves travel time
- ✓ Reduces waiting queues
- ✓ Provides instant transaction confirmation
- ✓ Easy transaction record tracking
- ✓ Increased financial control
- ✓ No need to carry cash
- Scenario:
 - A student pays internet bill in 20 seconds using mobile.
 - No queue, no travel, instant confirmation!

Benefits for Government

-  Better tax monitoring
-  Reduced cash corruption risk
-  Transparent financial transactions
-  Improved formal economic data collection
-  Easier to track money flow
- Digital payments leave a trail -
- **making corruption harder to hide!**

Benefits for Businesses

-  Faster customer payment
-  Reduced cash handling risk
-  Automatic transaction records
-  Wider customer reach
-  Easy to accept payments
- Example:
 - A small tea shop accepts QR payments.
 - **Customers without cash can still buy!**
 - Digital record helps track daily sales.

Rural Financial Inclusion Challenges

- ⚠ Limited broadband access
 - 📶 Poor mobile network coverage
 - 📚 Low digital literacy
 - 📱 Smartphone affordability issues
 - 🤝 Trust issues in digital systems
- Geographic Factor:
 - Mountain terrain increases infrastructure cost.
 - Remote villages hard to reach with fiber optic.
- Solution needed:
 - • Community training programs
 - • Subsidized smartphones
 - • Offline-capable apps

Security and Risk Issues

- Common Threats:
 - Phishing attacks
 - OTP fraud
 - Account hacking
 - Fake apps
- Prevention:
 - Awareness programs
 - Strong authentication systems
 - Cybersecurity regulation
 - Two-factor authentication
 - Regular security updates

Regulatory Support

- Supported by institutions:
-  Nepal Telecommunications Authority
 - Monitors network quality
 - Ensures fair competition
-  Nepal Rastra Bank (Central Bank)
 - Oversees digital payments
 - Ensures transaction security
 - Regulates fintech companies
 - Sets interest rates and policies

Before vs After Digital Financial Inclusion

BEFORE:

- **Cash-based economy**
 - Carry physical money
 - Risk of theft/loss
- **Manual bookkeeping**
 - Paper records
 - Easy to make errors
- **Travel to bank branches**
 - Waste time
 - Queue waiting
 - Bank hours only

AFTER:

- **Instant digital payment**
 - No cash needed
 - Secure transactions
- **Electronic transaction record**
 - Automatic tracking
 - Easy to access history
- **Mobile banking access**
 - 24/7 availability
 - Anywhere, anytime
 - No travel needed

Case Scenario: Vegetable Farmer

BEFORE:

Travel to market to receive payment.

Waste time, spend on transportation,
risk carrying cash.

AFTER:

Customer pays through digital wallet.

Money transferred instantly to bank.

Can check on phone.

IMPACT:

- ✓ Faster income access
- ✓ Reduced travel cost
- ✓ Safe and secure
- ✓ Can reinvest immediately

Economic Impact on Nepal

- Digital inclusion helps:
-  Expand formal economy
 - More transactions recorded
 - Better GDP measurement
-  Increase tax collection transparency
 - Digital trail for audits
 - Less tax evasion

Economic Impact on Nepal

-  Promote entrepreneurship
 - Easy to start online business
 - Digital payments from day one
-  Support e-commerce growth
 - Online shopping platforms
 - Cross-border trade
-  Encourage digital innovation
 - New fintech startups
 - Job creation in tech sector

Question

Q1: Can Nepal become fully cashless?

Q2: What happens if digital payment system fails?

Q3: Is digital money safer than physical cash?

Future Trends in Digital Finance



What's coming next?

-  Biometric payment systems
 - • Fingerprint scanning
 - • Facial recognition
-  AI-based fraud detection
 - • Real-time monitoring
 - • Pattern recognition

Future Trends in Digital Finance

-  Blockchain financial transparency
 - • Immutable records
 - • Smart contracts
- NP Integrated national digital payment gateway
 - • One platform for all
 - • Interoperable systems

Summary

- Digital financial inclusion:
- ✓ Expands access to financial services
 - • Banking for all citizens
 - • No geographic barriers
- ✓ Supports economic growth
 - • More transactions
 - • Better data for planning

Summary

- ✓ Reduces corruption risk
 - • Digital trail
 - • Less cash handling
- ⚠ Faces infrastructure and literacy challenges
 - • Need investment
 - • Need education
- ✨ But the future is DIGITAL!